

Federal Republic of Germany

Employer Pension Contribution Amendment Act 2026

Section 1: Purpose

This Act amends the statutory employer pension contribution requirements under the German Social Security Code (Sozialgesetzbuch). The objective is to enhance employee retirement security through increased employer contributions.

Section 2: Contribution Rate Adjustment

Effective March 1, 2026, the mandatory employer pension contribution rate shall increase from 3% to 5% of gross employee salary.

This change applies to all private-sector employers operating within Germany and includes full-time, part-time, and fixed-term employees.

Section 3: Compliance Requirements

Employers must update payroll systems to reflect the revised contribution rate prior to the effective date. Contributions must be remitted in accordance with existing monthly payroll cycles.

Failure to comply may result in financial penalties of up to EUR 50,000 per reporting period.

Section 4: Enforcement

The Federal Ministry of Labour and Social Affairs shall oversee enforcement. Audits may be conducted to ensure compliance with revised contribution requirements.

Section 5: Entry into Force

This Act shall enter into force on March 1, 2026.